Daiwa Capital Markets Hong Kong Limited

Tencent Holdings (700 HK)

Target price: **HKD725.00** (from HKD725.00)

Share price (18 Mar): **HKD550.50** | Up/downside: **+31.7%**

5 4 3 2 1

Buy (unchanged)

4Q25 review: solid results with accelerated AI moves

- AI investment stepped up materially in 4Q25, and likely to last in 2026
- Games beat; Cloud economics enhanced amid AI pricing resets
- Reaffirming our Buy (1) call and 12-month TP of HKD725

John Choi
(852) 2773 8730
john.choi@hk.daiwacm.com

Candis Chan
(852) 2848 4976
candis.chan@hk.daiwacm.com

What's new: Tencent delivered a solid 4Q25, with international games (+32% YoY) and cloud (+22% YoY) emerging as clear positives that exceeded market expectations. Cross-segment margin expansion was another highlight, lifting group GPM to 56% (+3ppt YoY), reflecting improved mix and operating leverage despite stepped-up AI investment and higher opex. Tencent plans to double investments (opex) in new AI products in 2026 (from CNY18bn in 2025), to be funded by incremental operating profit and by lower share buy backs (vs. HKD80bn in 2025). We see this as a critical move to strengthen its position in the AI product race amid concerns that Tencent might be marginalised in the AI investment race, though it implies a near-term decline in shareholder returns to below c.2.5% in 2026E.

What's the impact: Accelerating AI execution with an ecosystem-led strategy. AI investment increased materially in 4Q25, with aforementioned opex and total capex at CNY20bn (+51% QoQ) in 4Q25 and CNY79bn (+3% YoY) in 2025. Importantly, AI is already enhancing core franchises—games, ads, cloud & FinTech—via higher engagement, better monetisation and margin expansion, anchoring near-term earnings. For Agentic AI, Tencent's edge lies in ecosystem advantages that leverage Weixin, Mini Programs, payments and enterprise workflows, where differentiation is less model-dependent. We believe new AI products such as HY 3.0, QClaw and WorkBuddy are now being treated as front-loaded, capex-like investments, with monetisation expected to follow usage rather than occur in the near term. **Games resilience reaffirmed; AI reinforces incumbents.** 4Q25 games beat reset expectations as *PUBG Mobile* and *Wuthering Waves* outperformed among international games, while domestic games remained resilient with evergreen titles as well as *Delta Force* and *VALORANT* franchises. AI is improving content-production efficiency, live ops and UA ROI, rather than automating full game creation, which structurally favours scaled incumbents with IP and distribution. We also consider Apple App Store fee cuts to be net positive, with further cuts likely over time. **Cloud economics are turning positive,** delivering CNY5bn adjusted OP in 2025 (vs. a breakeven in 2024), driven by stronger AI demand, better pricing environment and ongoing supply-chain optimisation. With growing supplier bargaining power, cloud is gradually shifting to strategic profit pool.

What we recommend: We raise our 2026-27E EPS by 4% on higher GPM despite notable AI investment. We reaffirm Buy (1) call and maintain SOTP-based 12M TP at HKD725 (implying 2026E PER of 20.1x). Risks: weaker-than-expected game sales or higher-than-expected AI capex and opex.

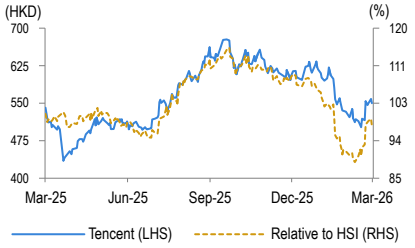
How we differ: We are more positive than the street on 2026-27E cloud growth and on the expansion of gross profit to fuel earnings.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	2.4	3.5	n.a.
Net profit change	2.7	2.7	n.a.
Core EPS (FD) change	4.0	4.0	n.a.

Source: Daiwa forecasts

Share price performance



12-month range	435.40-677.50
Market cap (USDbn)	636.44
3m avg daily turnover (USDm)	1,910.62
Shares outstanding (m)	9,060
Major shareholder	Naspers Limited (24.4%)

Financial summary (CNY)

Year to 31 Dec	26E	27E	28E
Revenue (m)	850,940	944,123	1,025,271
Operating profit (m)	275,340	311,058	351,047
Net profit (m)	290,310	323,226	358,823
Core EPS (fully-diluted)	31.563	35.318	39.204
EPS change (%)	12.4	11.9	11.0
Daiwa vs Cons. EPS (%)	0.6	0.4	0.9
PER (x)	15.3	13.7	12.3
Dividend yield (%)	1.6	1.8	1.9
DPS	7.575	8.476	9.409
PBR (x)	3.7	3.3	3.0
EV/EBITDA (x)	12.2	10.6	9.3
ROE (%)	25.5	25.6	25.6

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Tencent: quarterly forecasts

Year-end 31 December (CNYm)	4Q25 Reported	YoY	QoQ	vs. Daiwa	vs. consensus	1Q26E Daiwa forecasts	Vs. consensus
Value-added services (VAS)	**89,920**	13.8%	-6.2%	2.1%	0.9%	**99,820**	5.8%
Online games	59,310	20.5%	-6.7%	4.1%	2.9%	65,745	5.3%
Social network	30,608	2.7%	-5.3%	-1.4%	-2.8%	34,075	6.7%
Online advertising	**41,116**	17.5%	13.4%	-1.3%	-0.7%	**37,550**	0.2%
Fintech and business services (FBS)	**60,818**	8.4%	4.5%	-1.7%	-0.4%	**58,767**	2.6%
Others	**2,517**	9.7%	-2.9%	25.9%	10.4%	**1,420**	32.1%
Total revenue	**194,371**	12.7%	0.8%	0.4%	0.3%	**198,576**	3.4%
Gross profit	**108,289**	19.5%	-0.5%	5.1%	0.3%	**112,398**	3.6%
Gross margin	55.7%	3.14 ppt	-0.70 ppt	2.48 ppt	0.02 ppt	56.6%	0.07 ppt
Non-IFRS operating income	**69,518**	16.9%	-4.2%	2.5%	0.1%	**77,052**	-0.1%
Non-IFRS operating margin	35.8%	1.28 ppt	-1.86 ppt	0.73 ppt	-0.05 ppt	38.8%	-1.32 ppt
Non-IFRS net income	**64,694**	17.0%	-8.3%	3.3%	1.2%	**70,246**	2.0%
Non-IFRS net margin	33.3%	1.21 ppt	-3.30 ppt	0.92 ppt	0.31 ppt	35.4%	-0.51 ppt
Non-IFRS diluted EPS (CNY)	**6.97**	18.0%	-8.0%	3.5%	1.0%	**7.58**	1.9%

Source: Visible Alpha, Daiwa forecasts

Tencent: Daiwa earnings forecasts revisions

	Old			New			Revision		
(CNYm)	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total gross revenue	**835,974**	**918,162**	**n.a**	**850,940**	**944,123**	**1,025,271**	*2%*	*3%*	*n.a*
% change YoY	*11%*	*10%*		*13%*	*11%*	*9%*			
Gross profit	**454,606**	**503,294**	**n.a**	**483,103**	**540,145**	**591,112**	*6%*	*7%*	*n.a*
Gross margin	*54.4%*	*54.8%*		*56.8%*	*57.2%*	*57.7%*	*2.20ppt*	*2.28ppt*	
Operating income – IFRS	**280,872**	**317,398**	**n.a**	**275,340**	**311,058**	**351,047**	*1%*	*0%*	*n.a*
Operating margin	*33.6%*	*34.6%*		*32.4%*	*32.9%*	*34.2%*	*-0.44ppt*	*-0.84ppt*	
Net income - IFRS	**244,120**	**273,889**	**n.a**	**239,449**	**268,722**	**301,313**	*1%*	*0%*	*n.a*
Net profit margin - IFRS	*29.2%*	*29.8%*		*28.1%*	*28.5%*	*29.4%*			
Net income - Non- IFRS	**289,812**	**322,626**	**n.a**	**290,310**	**323,226**	**358,823**	*2%*	*2%*	*n.a*
Net profit margin - IFRS	*34.7%*	*35.1%*		*34.1%*	*34.2%*	*35.0%*	*0.10ppt*	*-0.26ppt*	
Diluted income per share – IFRS (CNY/sh)	**26.08**	**29.25**	**n.a**	**26.0**	**29.4**	**32.9**	*2%*	*1%*	*n.a*
Diluted income per share - Non-IFRS (CNY/sh)	**30.96**	**34.46**	**n.a**	**31.56**	**35.32**	**39.20**	*4%*	*4%*	*n.a*

Source: Daiwa forecasts

Tencent: SOTP analysis

SOTP analysis	2026E revenue (CNYbn)	Target earnings (CNYbn)	Target multiple	Valuation (CNYbn)	Valuation per share (HKD)	Valuation basis
Games	345.0	116	**19.0x**	**2,206.0**	273.4	**P/E**
IVAS (video, music, literature, etc.)	78.1		**3.0x**	**234.2**	29.0	**P/S**
Advertising (WeChat, News)	162.0	57	**31.0x**	**1,751.7**	217.1	**P/E**
Fintech	184.5		**3.5x**	**645.6**	80.0	**P/S**
Business services (Cloud)	64.7		**6.0x**	**387.9**	48.1	**P/S**
Other initiatives	7.5		**3.0x**	**22.5**	2.8	**P/S**
Investees, excl. holding discount^				**605.4**	75.0	
Net debt *				**-5.8**	-0.7	
Equity value (CNYbn)				**5,847.5**		
FX – CNY:HKD				1.1		
Equity value (HKDbn)				**6,666.1**		
Outstanding shares (bn)^^				9.2		
Target price (HKD/share)				**724.8**	**724.8**	
Implied 2026E PER				20.1x		

Source: Daiwa forecasts; TP rounded up
Note: (^) Tencent reported that the fair value of its shareholdings in listed investee companies, excluding subsidiaries, was CNY673bn as of 31 Dec 2025;
(^^) using fully diluted shares outstanding for 2026E
(*) Net debt does not include non-current term deposits.

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Monthly Active Users (MAU) of WeChat (m)	1,268	1,313	1,343	1,385	1,418	1,449	1,481	1,514
PC game revenue (CNYm)	45,359	47,033	45,341	39,620	44,253	48,057	51,450	52,479
Mobile game revenue (inc. online games & social network) (CNYm)	164,800	160,500	176,634	203,550	249,755	296,985	336,377	338,444
Social network revenue (ex. Mobile games) (CNYm)	81,413	80,032	76,399	75,734	75,335	78,061	79,937	82,012

Profit and loss (CNYm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Value-added services (VAS)	291,572	287,565	298,375	319,168	369,343	423,103	467,764	501,682
Online advertising	88,666	82,729	101,482	121,374	144,973	171,226	200,779	229,910
Other Revenue	179,880	184,258	209,158	219,715	237,512	256,611	275,580	293,679
Total Revenue	**560,118**	**554,552**	**609,015**	**660,257**	**751,828**	**850,940**	**944,123**	**1,025,271**
Other income	0	8,006	4,701	8,002	(3,177)	6,000	6,000	6,000
COGS	(314,174)	(315,806)	(315,906)	(311,011)	(329,235)	(367,836)	(403,978)	(434,159)
SG&A	(77,440)	(74,786)	(78,808)	(93,052)	(112,013)	(121,793)	(129,345)	(131,235)
Other op.expenses	(53,001)	(61,139)	(58,928)	(56,097)	(65,841)	(91,970)	(105,742)	(114,830)
Operating profit	**115,503**	**110,827**	**160,074**	**208,099**	**241,562**	**275,340**	**311,058**	**351,047**
Net-interest inc./(exp.)	(464)	(760)	1,540	4,023	1,779	143	343	343
Assoc/forex/extraord./others	(16,444)	(16,129)	5,800	25,176	23,740	20,000	20,000	20,000
Pre-tax profit	**98,595**	**93,938**	**167,414**	**237,298**	**267,081**	**295,483**	**331,401**	**371,390**
Tax	(20,252)	(21,516)	(43,276)	(45,018)	(47,448)	(55,034)	(61,679)	(69,077)
Min. int./pref. div./others	(2,988)	(466)	(2,832)	(2,394)	(4,959)	(3,000)	(3,000)	(3,000)
Net profit (reported)	**75,355**	**71,956**	**121,306**	**189,886**	**214,674**	**237,449**	**266,722**	**299,313**
Net profit (adjusted)	**(25,679)**	**115,649**	**157,688**	**222,703**	**259,626**	**290,310**	**323,226**	**358,823**
EPS (reported)(CNY)	**7.772**	**7.422**	**12.623**	**20.183**	**23.223**	**25.816**	**29.144**	**32.702**
EPS (adjusted)(CNY)	**(2.695)**	**12.138**	**16.678**	**24.027**	**28.577**	**32.115**	**35.753**	**39.687**
EPS (adjusted fully-diluted)(CNY)	**(2.648)**	**11.929**	**16.409**	**23.672**	**28.086**	**31.563**	**35.318**	**39.204**
DPS (CNY)	**1.600**	**2.400**	**3.400**	**4.500**	**5.300**	**7.575**	**8.476**	**9.409**
EBIT	**10,072**	**145,667**	**205,432**	**253,815**	**297,565**	**327,274**	**368,975**	**412,128**
EBITDA	**168,504**	**171,966**	**219,002**	**264,196**	**307,403**	**367,310**	**416,800**	**465,877**

Cash flow (CNYm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	98,595	93,938	167,414	237,298	267,081	295,483	331,401	371,390
Depreciation and amortisation	57,670	61,216	59,008	56,213	65,841	91,970	105,742	114,830
Tax paid	(28,526)	(27,669)	(34,729)	(46,184)	(47,448)	(55,034)	(61,679)	(69,077)
Change in working capital	891	(18,472)	19,233	21,881	13,510	14,402	15,508	7,602
Other operational CF items	46,555	37,078	11,036	(10,687)	11,157	14,095	16,678	19,843
Cash flow from operations	**175,185**	**146,091**	**221,962**	**258,521**	**310,141**	**360,915**	**407,650**	**444,587**
Capex	(29,302)	(22,679)	(21,008)	(62,927)	(97,738)	(110,622)	(94,412)	(102,527)
Net (acquisitions)/disposals	(49,900)	(11,226)	(5,368)	(1,764)	(6,314)	(12,943)	(13,180)	(13,429)
Other investing CF items	(99,347)	(70,966)	(98,785)	(57,496)	(45,646)	(50,728)	(53,324)	(55,758)
Cash flow from investing	**(178,549)**	**(104,871)**	**(125,161)**	**(122,187)**	**(149,698)**	**(174,293)**	**(160,916)**	**(171,714)**
Change in debt	59,790	6,407	9,304	(14,320)	60,000	60,000	0	0
Net share issues/(repurchases)	1,716	(1,127)	(28,312)	(42,697)	(100,399)	(110,000)	(110,000)	(110,000)
Dividends paid	(13,906)	(15,117)	(21,788)	(31,244)	(41,265)	(48,258)	(68,629)	(76,909)
Other financing CF items	(25,980)	(50,116)	(41,777)	(88,233)	(24,731)	(14,657)	(14,657)	(14,657)
Cash flow from financing	**21,620**	**(59,953)**	**(82,573)**	**(176,494)**	**(106,395)**	**(112,915)**	**(193,286)**	**(201,566)**
Forex effect/others	(3,089)	7,506	1,353	359	(452)	0	0	0
Change in cash	**15,167**	**(11,227)**	**15,581**	**(39,801)**	**53,597**	**73,707**	**53,448**	**71,306**
Free cash flow	145,883	123,412	200,954	195,594	212,404	250,293	313,238	342,060

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (CNYm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	251,779	261,515	358,303	325,496	379,093	452,800	506,248	577,554
Inventory	1,063	2,333	456	440	440	440	440	440
Accounts receivable	49,331	45,467	46,606	48,203	57,891	65,522	72,697	78,946
Other current assets	182,639	256,674	113,081	122,041	109,890	120,313	121,992	129,537
Total current assets	**484,812**	**565,989**	**518,446**	**496,180**	**547,314**	**639,075**	**701,377**	**786,477**
Fixed assets	61,914	53,978	53,232	80,185	145,124	199,516	227,839	258,597
Goodwill & intangibles	171,376	161,802	177,727	196,127	185,640	175,429	164,099	151,796
Other non-current assets	894,262	796,362	827,841	1,008,503	1,086,760	1,161,503	1,236,483	1,311,712
Total assets	**1,612,364**	**1,578,131**	**1,577,246**	**1,780,995**	**1,964,838**	**2,175,523**	**2,329,799**	**2,508,583**
Short-term debt	19,003	22,026	55,698	61,508	61,508	61,508	61,508	61,508
Accounts payable	109,470	92,381	100,948	118,712	116,630	134,220	147,437	156,904
Other current liabilities	274,625	319,797	195,511	216,689	229,366	244,233	255,378	267,307
Total current liabilities	**403,098**	**434,204**	**352,157**	**396,909**	**407,505**	**439,961**	**464,323**	**485,719**
Long-term debt	282,526	312,337	292,920	277,107	337,107	397,107	397,107	397,107
Other non-current liabilities	50,047	48,730	58,488	53,083	53,083	53,083	53,083	53,083
Total liabilities	**735,671**	**795,271**	**703,565**	**727,099**	**797,695**	**890,151**	**914,513**	**935,909**
Share capital	0	0	0	0	0	0	0	0
Reserves/R.E./others	806,299	721,391	808,591	973,548	1,081,836	1,197,065	1,323,979	1,478,367
Shareholders' equity	**806,299**	**721,391**	**808,591**	**973,548**	**1,081,836**	**1,197,065**	**1,323,979**	**1,478,367**
Minority interests	70,394	61,469	65,090	80,348	85,307	88,307	91,307	94,307
Total equity & liabilities	**1,612,364**	**1,578,131**	**1,577,246**	**1,780,995**	**1,964,838**	**2,175,523**	**2,329,799**	**2,508,583**
EV	4,496,463	4,510,636	4,431,724	4,469,786	4,481,148	4,470,441	4,419,993	4,351,687
Net debt/(cash)	**49,750**	**72,848**	**(9,685)**	**13,119**	**19,522**	**5,815**	**(47,633)**	**(118,939)**
BVPS (CNY)	**80.978**	**75.847**	**85.960**	**106.168**	**118.814**	**132.130**	**145.919**	**162.691**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	16.2	(1.0)	9.8	8.4	13.9	13.2	11.0	8.6
EBITDA (YoY)	(0.7)	2.1	27.4	20.6	16.4	19.5	13.5	11.8
Operating profit (YoY)	(89.1)	1,346.3	41.0	23.6	17.2	10.0	12.7	11.7
Net profit (YoY)	n.a.	n.a.	36.4	41.2	16.6	11.8	11.3	11.0
Core EPS (fully-diluted) (YoY)	n.a.	n.a.	37.6	44.3	18.6	12.4	11.9	11.0
Gross-profit margin	43.9	43.1	48.1	52.9	56.2	56.8	57.2	57.7
EBITDA margin	30.1	31.0	36.0	40.0	40.9	43.2	44.1	45.4
Operating-profit margin	1.8	26.3	33.7	38.4	39.6	38.5	39.1	40.2
Net profit margin	n.a.	20.9	25.9	33.7	34.5	34.1	34.2	35.0
ROAE	n.a.	15.1	20.6	25.0	25.3	25.5	25.6	25.6
ROAA	n.a.	7.2	10.0	13.3	13.9	14.0	14.3	14.8
ROCE	0.9	12.7	17.6	19.4	20.1	19.8	20.4	21.1
ROIC	10.6	9.6	13.8	17.5	17.6	18.1	19.0	20.3
Net debt to equity	6.2	10.1	n.a.	1.3	1.8	0.5	n.a.	n.a.
Effective tax rate	20.5	22.9	25.8	19.0	17.8	18.6	18.6	18.6
Accounts receivable (days)	30.7	31.2	27.6	26.2	25.8	26.5	26.7	27.0
Current ratio (x)	1.2	1.3	1.5	1.3	1.3	1.5	1.5	1.6
Net interest cover (x)	21.7	191.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	20.6	32.3	26.9	22.3	22.8	29.3	29.1	28.8
Free cash flow yield	3.3	2.8	4.6	4.5	4.9	5.7	7.2	7.8

Source: FactSet, Daiwa forecasts

Company profile

Tencent is China's largest and most used internet service portal. Over the past decade, the company has been able to maintain steady earnings growth under its user-oriented strategy. It was listed on the main board of the Hong Kong Stock Exchange on 16 June 2004. The company has an extensive self-developed game portfolio, including best-selling mobile games Honour of Kings, PUBG Mobile/Peacekeeper Elite and League of Legends, in China/globally. It also operates China's largest social networking app - Weixin.

ESG analysis

ESG opportunities

Opportunities		Management	Analyst comments
S	Innovations	1	Tencent has a vision of "Tech for Good". It has set up a Sustainable Social Value Organisation, which is funded by company investment gains with an initial capital of CNY50bn. The fund will invest in areas including basic science, education innovation, rural revitalisation, carbon neutrality, food/energy/water provision, assisting with public emergencies, technology for senior citizens and public welfare.
E	Reduction on carbon emissions	1	Tencent is one of the top-3 public cloud operators in China. In 2019,its biggest data centre, located in Guangming District, Shenzhen, received a 5A rating, the highest possible according to the Data Centre Green Rating system. Another 2 of Tencent's data centres have received this rating.

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	Tencent has a single board of directors, with independent non-executive directors accounting for over half of the board members (5 out of 8). This composition brings a wide range of experience and expertise to the board, and enables effective checks-and-balances to protect shareholders' interests.
	Capital management	1	The company pays interim/final dividends, and also actively conducts share repurchases.Its dividend payout ratio over 2021-24 has ranged from 21-33%
	Related party & transaction	1	There is no evidence of any suspicious related-party transactions.
S	Customer privacy	2	In the past, there have been occasional headlines purporting that some of Tencent's apps collect excessive user information or collect unauthorised user data. Failure to comply with the constantly changing data privacy and protection laws and regulations may subject the company to fines and damages. Meanwhile, the company's targeted advertising business may require changes if privacy concerns or regulatory restrictions prevent it from selling demographically targeted advertising.
S	Data security	2	The company has not been involved in any data security violations.
S	Employee engagement, diversity & inclusion	2	Tencent has started to implement flexible working hours and prohibits excessive overtime by staff.
Company specific		**Management**	**Analyst comments**
S	Minor protection	2	Tencent has continued to reinforce the protection of minors on the Internet. Protection measures include real-name verification, an age-rating system, parental control features, and setting different game time and spending limits for minor players of varying age groups.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 11 Dec 2025

Source: Daiwa, Company

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